10. Income Taxes

Income before income tax and the provision for income tax consist of the following (in millions):

	Years Ended December 31		
	2024	2023	2022
Income (loss) before income taxes:			
Ireland	$ 52	$ 31	$ 85
U.K.	782	338	502
U.S.	854	219	161
Other	1,774	2,581	2,408
Total	$ 3,462	$ 3,169	$ 3,156
Income tax expense:			
Current:			
Ireland	$ 13	$ 4	$ 2
U.K.	233	185	206
U.S. federal	292	240	195
U.S. state and local	79	74	43
Other	436	411	316
Total current tax expense	$ 1,053	$ 914	$ 762
Deferred tax expense (benefit):			
Ireland	$ —	$ —	$ —
U.K.	(169)	(116)	(152)
U.S. federal	(83)	(126)	(69)
U.S. state and local	(71)	(39)	(21)
Other	12	(92)	(10)
Total deferred tax expense (benefit)	$ (311)	$ (373)	$ (252)
Total income tax expense	$ 742	$ 541	$ 510

Income before income taxes shown above may, in some cases, be subject to taxation in more than one country, and as a result the income tax provision shown above as Ireland, U.K., U.S. or Other may not correspond to the geographic attribution of the earnings.

The Company performs a reconciliation of the income tax provisions based on its domicile and statutory rate at each reporting period. The reconciliation of the income tax provisions based on the Irish statutory corporate tax rate of 25% to the provisions reflected in the Consolidated Financial Statements is as follows:

	Years Ended December 31		
	2024	2023	2022
Statutory tax rate	25.0%	25.0%	25.0%
U.S. state income taxes, net of U.S. federal benefit	0.7	0.6	0.4
Taxes on international operations [1]	(9.3)	(11.2)	(11.6)
Nondeductible expenses	1.8	3.2	2.4
Adjustments to prior year tax requirements	0.8	0.5	(7.0)
Deferred tax adjustments, including statutory rate changes	(0.1)	(0.3)	(0.5)
Deferred tax adjustments, international earnings	1.1	0.7	0.2
Adjustments to valuation allowances	(0.1)	(2.5)	1.9
Change in uncertain tax positions	2.3	2.6	8.6
Excess tax benefits related to shared based compensation [2]	(0.7)	(1.6)	(1.5)
Capital and other losses	—	—	(1.4)
Other — net	(0.1)	0.1	(0.3)
Effective tax rate	21.4%	17.1%	16.2%

(1) The Company determines the adjustment for taxes on international operations based on the difference between the statutory tax rate applicable to earnings in each foreign jurisdiction and the enacted rate of 25.0%, 25.0% and 25.0% at December 31, 2024, 2023, and 2022, respectively. The benefit to the Company's effective income tax rate from taxes on international operations relates to benefits from lower-taxed global operations, primarily due to the use of global funding structures and the tax holiday in Singapore.

(2) Excess tax benefits and deficiencies from share-based payment transactions are recognized as income tax expense or benefit in the Company's Consolidated Statements of Income.

The Company has elected to account for GILTI in the period in which it is incurred, and therefore has not provided deferred tax impacts of GILTI in its Consolidated Financial Statements.

The components of the Company's deferred tax assets and liabilities are as follows (in millions):

As of December 31	2024	2023
Deferred tax assets:		
Net operating loss, capital loss, interest, and tax credit carryforwards	$ 1,576	$ 1,049
Employee benefit plans	359	337
Lease liabilities	171	164
Other accrued expenses	176	155
Federal and state benefit of interest from uncertain tax positions	99	75
Accrued interest	102	52
Deferred revenue	31	25
Other	56	40
Total	2,570	1,897
Valuation allowance on deferred tax assets	(202)	(197)
Total	$ 2,368	$ 1,700
Deferred tax liabilities:		
Intangibles and property, plant and equipment	$ (1,512)	$ (254)
Deferred costs	(160)	(149)
Lease right-of-use asset	(139)	(135)
Unremitted earnings	(66)	(44)
Other accrued expenses	(21)	(20)
Unrealized foreign exchange gains	(36)	(18)
Investment basis differences [1]	(42)	49
Other	(57)	(49)
Total	$ (2,033)	$ (620)
Net deferred tax asset	$ 335	$ 1,080

(1) The balance was in an asset position for the comparable period.

Deferred income taxes (assets and liabilities have been netted by jurisdiction) have been classified in the Consolidated Statements of Financial Position as follows (in millions):

As of December 31	2024	2023
Deferred tax assets — non-current	$ 654	$ 1,195
Deferred tax liabilities — non-current	(319)	(115)
Net deferred tax asset	$ 335	$ 1,080

In assessing the realizability of deferred tax assets, the Company considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized and adjusts the valuation allowance accordingly. Considerations with respect to the realizability of deferred tax assets include the period of expiration of the deferred tax asset, historical earnings and projected future taxable income by jurisdiction as well as tax liabilities for the tax jurisdiction to which the tax asset relates. Significant management judgment is required in determining the assumptions and estimates related to the amount and timing of future taxable income. Valuation allowances have been established primarily with regard to the tax benefits of certain tax credits, net operating loss carryforwards, and capital loss carryforwards. Valuation allowances increased by $5 million as of December 31, 2024, when compared to December 31, 2023. The change is primarily attributable to the acquisition of NFP, partially offset by a release of certain valuation allowances related to state net operating loss carryforwards.

The Company generally intends to limit distributions from foreign subsidiaries in excess of U.S. tax earnings and profits (except where distributions would be limited by available cash) and to limit repatriations from certain other jurisdictions that would otherwise generate a U.S. tax liability. As of December 31, 2024, the Company has accrued $66 million for local country income taxes, withholding taxes and state income taxes on those undistributed earnings that are not indefinitely reinvested. The Company has not provided for deferred taxes on outside basis differences in our investments in our foreign subsidiaries that are unrelated to these accumulated undistributed earnings, as these outside basis differences are indefinitely reinvested. A

determination of the unrecognized deferred taxes related to these other components of our outside basis differences is not practicable.

The Company had the following carryforwards (in millions):

As of December 31	2024	2023
U.K.		
Operating loss carryforwards	$ 1,499	$ 1,033
Capital loss carryforwards	$ 557	$ 550
Interest carryforwards	$ 85	$ —
U.S.		
Federal operating loss carryforwards	$ 2	$ 1
Federal interest carryforwards	$ 3,743	$ 2,303
Federal foreign tax credit carryforwards	$ 29	$ 24
State operating loss carryforwards	$ 1,822	$ 493
State interest carryforwards	$ 2,303	$ 1,209
Other Non-U.S.		
Operating loss carryforwards	$ 339	$ 461
Capital loss carryforwards	$ 9	$ 7
Interest carryforwards	$ 126	$ 129
Other carryforwards	$ —	$ 3

The U.K. operating losses and capital losses have an indefinite carryforward period. The federal operating loss carryforwards generated through December 31, 2017 expire at various dates between 2034 and 2036 while federal operating loss carryforwards generated after this date have indefinite carryforward periods. State net operating losses as of December 31, 2024 have various carryforward periods and will begin to expire in 2025. Federal and state interest carryforwards have indefinite carryforward periods. Foreign tax credits can be carried forward for ten years and will begin to expire in 2027. Operating, capital losses, and other carryforwards in other non-U.S. jurisdictions have various carryforward periods and will begin to expire in 2025. The interest carryforwards in other non-U.S. jurisdictions have an indefinite carryforward period.

During 2012, the Company was granted a tax holiday for the period from October 1, 2012 through September 30, 2022, with respect to withholding taxes and certain income derived from services in Singapore. The Company has been granted a new incentive for the period October 1, 2022 to September 30, 2032. The new incentive provides for a reduced withholding tax rate and a reduced tax rate on certain income derived from services in Singapore, as long as certain conditions are met.

The benefit realized was approximately $96 million, $93 million, and $115 million during the years ended December 31, 2024, 2023, and 2022, respectively. The impact of this tax holiday on diluted earnings per share was $0.45, $0.45, and $0.54 during the years ended December 31, 2024, 2023, and 2022, respectively.

Uncertain Tax Positions

The following is a reconciliation of the Company’s beginning and ending amount of uncertain tax positions (in millions):

	2024	2023
Balance at January 1	$ 637	$ 601
Additions based on tax positions related to the current year	39	40
Additions for tax positions of prior years	1	2
Reductions for tax positions of prior years	(5)	(3)
Settlements	(1)	—
Business combinations	61	—
Lapse of statute of limitations	(10)	(3)
Foreign currency translation	—	—
Balance at December 31	$ 722	$ 637

The Company's liability for uncertain tax positions as of December 31, 2024, 2023, and 2022, includes $643 million, $570 million, and $535 million, respectively, related to amounts that would impact the effective tax rate if recognized. It is possible that the amount of unrecognized tax benefits may change in the next twelve months; however, the Company does not expect the change to have a significant impact on its consolidated statements of income or consolidated balance sheets. These changes may be the result of settlements of ongoing audits. At this time, an estimate of the range of the reasonably possible outcomes within the next twelve months cannot be made.

The Company recognizes interest and penalties related to uncertain tax positions in its provision for income taxes. The Company accrued potential interest and penalties of $73 million, $62 million, and $40 million, in 2024, 2023, and 2022, respectively. The Company recorded a liability for interest and penalties of $325 million, $244 million, and $181 million as of December 31, 2024, 2023, and 2022, respectively.

The Company and its subsidiaries file income tax returns in their respective jurisdictions. The Company has substantially concluded all U.S. federal income tax matters for years through 2007. Material U.S. state and local income tax jurisdiction examinations have been concluded for years through 2013. The Company has concluded income tax examinations in its primary non-U.S. jurisdictions through 2008.